EXECUTIVE SUMMARY

A. Introduction

Agency Profile

The Municipality of Sanchez Mira is a third-class municipality located in the northwestern part of the province of Cagayan. It was formerly known as Malolokit, a *visita* of Pamplona but separated from its matrix and became an independent municipality by authority of a Royal Decree dated September 14, 1894. It consists of eighteen (18) barangays with 19,880 hectares or 198.8 square kilometers.

Scope of Audit

The audit covered the accounts and operations of the Municipality of Sanchez Mira for the year 2022 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards and whether prevailing laws, rules and regulations have been complied with, and funds were utilized in the most efficient, effective and economical manner. Financial, compliance audit and performance audits were conducted to achieve these audit objectives.

B. Highlights of Financial Information

The highlights of the financial position, financial performance, appropriation, allotments and obligations of the Municipality of Sanchez Mira, Cagayan for the year ended December 31, 2022, with comparative figures for CY 2021, are as follows:

Particulars	2022	2021	Increase/ (Decrease)
Financial Position			
Assets	517,855,733.80	482,463,140.96	35,392,592.84
Liabilities	78,390,107.25	67,384,348.98	11,005,758.27
Government Equity	439,465,626.55	415,078,791.98	24,386,834.57
Financial Performance			
Income	195,361,038.44	146,088,506.73	49,272,531.71
Expense	165,903,883.25	137,667,602.58	28,236,280.67
Appropriations, Allotments and Obligation			
Appropriations	238,484,746.47	173,774,000.31	64,710,746.16
Allotments	238,484,746.47	173,774,000.31	64,710,746.16
Obligations	180,633,815.51	134,014,557.65	46,619,257.86

C. Independent Auditor's Report on the Financial Statements

The Auditor rendered an Unmodified Opinion on the fairness of the presentation of the financial statements of the LGU of Sanchez Mira, Cagayan as at December 31, 2022.

D. Summary of Audit Observations and Recommendations

The following are among the Audit Team's significant audit observations and recommendations:

1. Charging Three percent (3%) Engineering Fee for the payment of the Job Order, office supplies and administrative expenses to the 20% Development Fund for Projects implemented is contrary to paragraph 3.2.5 of DBM-DOF-DILG Joint Memorandum Circular (JMC) No. 2020-1 dated November 4, 2020, thus, depriving its constituents of the expected socio-economic benefits that could have been derived therefrom.

   We recommended the following:

   a. The Management to allot a budget under the General Fund for the payment of Job Order and other administrative expenses related to the operations and implementation of 20% Development Fund.

   b. The Accountant and Budget Officer to return the remaining fund the Due to LGUs-Engineering Fee account to the 20% Development Fund.

   c. The MPDO and ME to stop the charging 3% Engineering Fee to the 20% Development Fund.

2. The available appropriation for the CY 2022 Local Disaster Risk Reduction and Management Fund (LDRRMF) totaling P13,894,369.02 was not fully maximized, with only P4,130,471.80 or 29.73% of utilization as of December 31, 2022, thereby, leaving an unutilized balance of P9,763,897.22, hence, the fund remained idle and the purposes for which they were intended were not fully achieved.

   We recommended that the Local Chief Executive enjoin the Municipal DRRM Officer and other concerned implementing offices to fully utilize the fund and implement all budgeted projects identified in its Local Disaster Risk Reduction and Management Investment Plan.

3. Completed Infrastructure Projects funded from fund transfers from a National Government Agency amounting to P 35,317,123.13 were not recognized in the books of the Municipality, contrary to Section 104 of the New Government

Accounting System Manual for LGUs, COA Circular 2015-008 dated November 25, 2015, and Philippine Public Sector Accounting Standards 17, thereby resulted to understatement of PPE account.

We recommended that the Municipal Accountant:

a. Immediately record the above Infrastructure Assets under Property Plant and Equipment account and recognize its accompanying Depreciation.

b. Record all Infrastructure Assets upon completion of the project.

4. Several programs, projects and activities under the 20% Development Fund totalling to ₱36,889,052.00 were not fully implemented by the Municipality as at December 31, 2022, contrary to DBM-DOF-DILG Joint Memorandum Circular No. 2020-1 dated November 4, 2020, thus, depriving its constituents of the expected socio-economic benefits that could have been derived therefrom.

   We recommended that the Management fast track the completion of all on-going and unimplemented projects funded under the 20% Development Fund to optimize utilization thereof and timely bring the desired benefits to the intended beneficiaries.

5. Non-reconciliation of the RPCPPE and the Financial Statements resulted to an unaccounted balance amounting to P18,171,492.50, thus, cast doubt on the propriety and correctness of the amount presented in the Financial Statements as at December 31, 2022 which is not in accordance with Item 6.3 of COA Circular 2020-006 dated January 31, 2020.

   We recommended the following:

a. The Accountant and GSO Designate to reconcile the reports submitted and correct the Property Plant and Equipment account presented in the Financial Statements.

b. The GSO Designate and Inventory Committee to include physical count of land and infrastructure assets in the RPCPPE.

E. Summary of Total Suspensions, Disallowances, and Charges

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Disallowances					
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-
Charges			-		
Prior Years	-	-	-	-	-
Current Year	-	-	-	-	-
Total	-	-	-	-	-

F. Status of Implementation of Prior Year's Audit Recommendations

Out of the seven (7) audit recommendations in the CY 2021 Annual Audit Report, five (5) were implemented and two (2) were partially implemented.